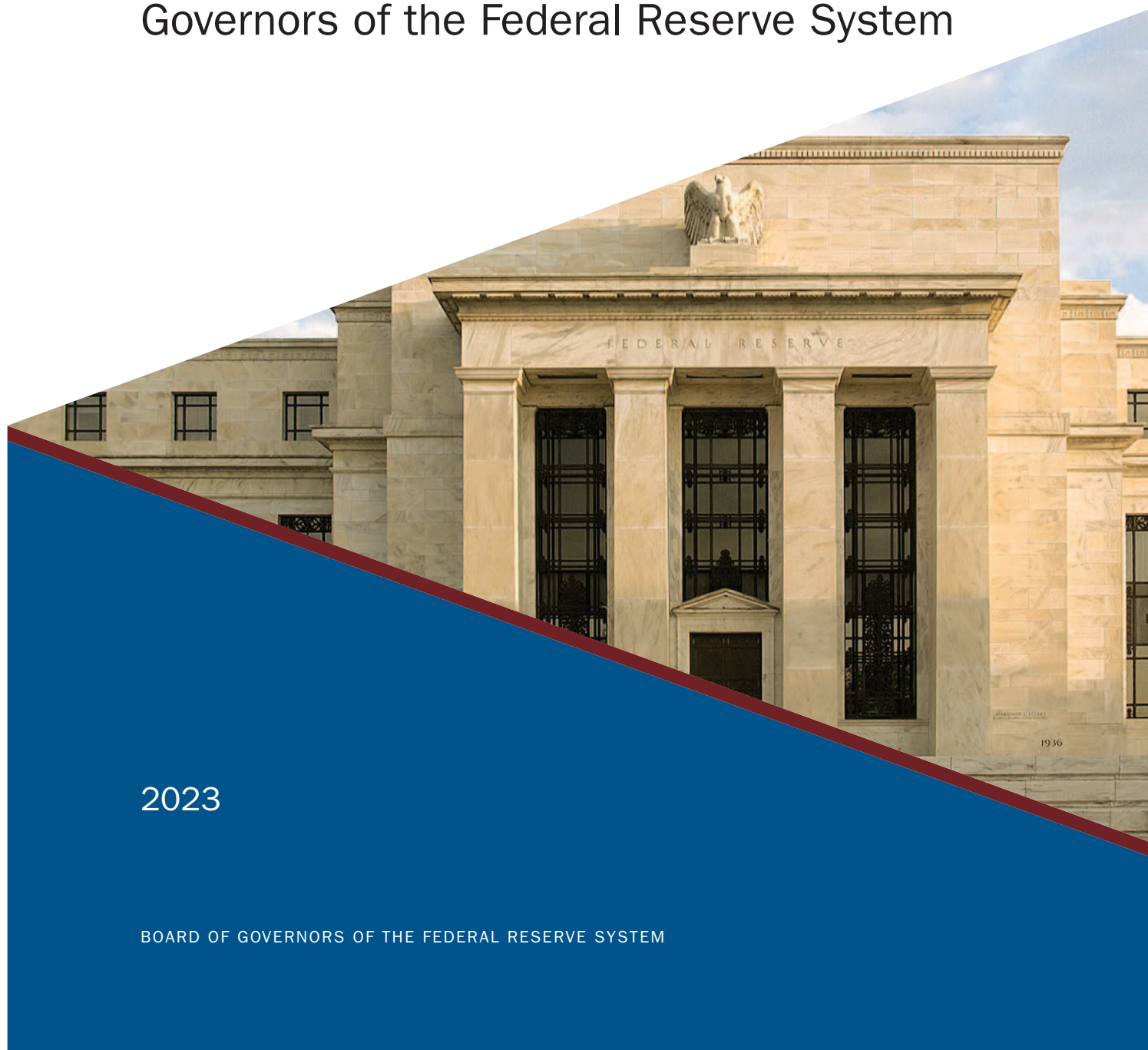




REPORT TO CONGRESS

110th Annual Report of the Board of Governors of the Federal Reserve System



2023

BOARD OF GOVERNORS OF THE FEDERAL RESERVE SYSTEM

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About the Federal Reserve

The Federal Reserve was created by an act of Congress on December 23, 1913, to provide the nation with a safer, more flexible, and more stable monetary and financial system. In establishing the Federal Reserve System, the United States was divided geographically into 12 Districts, each with a separately incorporated Reserve Bank.

For more information about the Federal Reserve Board and the Federal Reserve System, visit the Board's website at <https://www.federalreserve.gov/aboutthefed/default.htm>. Online versions of the Board's annual report are available at <https://www.federalreserve.gov/publications/annual-report/default.htm>.

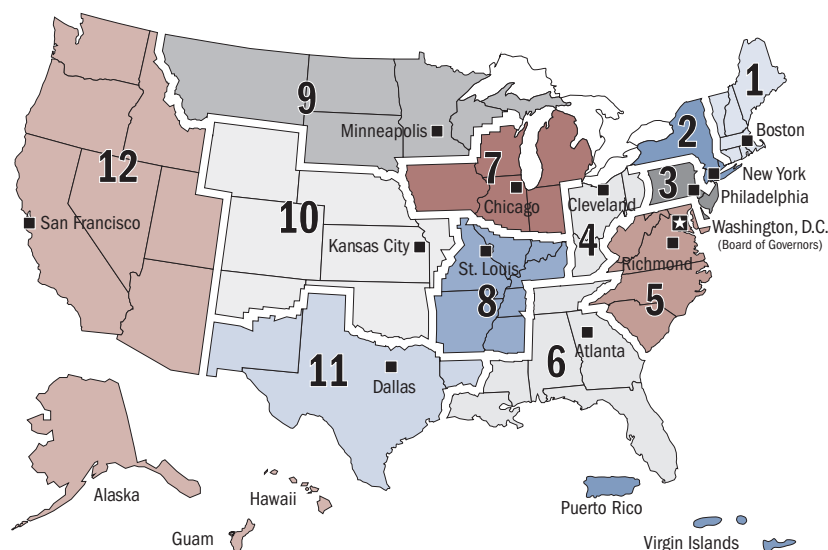
1 | Overview

This report covers the calendar-year 2023 operations and activities of the Federal Reserve, the central bank of the United States (see [figure 1.1](#)), categorized in the five key functional areas:

- **Conducting monetary policy and monitoring economic developments.** [Section 2](#) provides adapted versions of the Board’s semiannual Monetary Policy Reports to Congress.
- **Promoting financial system stability.** [Section 3](#) reviews Board and System activities and research undertaken to foster a resilient and stable financial system.
- **Supervising and regulating financial institutions and their activities.** [Section 4](#) summarizes the Board’s efforts related to financial institution oversight and examinations, supervisory policymaking, and regulatory activities and enforcement.
- **Fostering payment and settlement system safety and efficiency.** [Section 5](#) describes actions by the Board and Reserve Banks to promote the effectiveness of the nation’s payment systems, discusses initiatives to promote payment system safety, and provides data on Reserve Bank services and income.
- **Promoting consumer protection and community development.** [Section 6](#) provides information on the Board’s efforts to promote a fair and transparent financial services market for con-

Figure 1.1. The Federal Reserve System’s unique structure ensures broad perspective

The Federal Reserve System consists of 12 Reserve Banks located in major cities throughout the United States, along with a seven-member Board of Governors headquartered in Washington, D.C. See “Federal Reserve System Organization” in [appendix A](#) for more information on the Board and System leadership.



sumers, protect consumer rights, and ensure that Board policies and research take consumer and community perspectives into account.

Additional information for calendar-year 2023 on Federal Reserve leadership, policy actions, budgets as well as historical data and supporting activities can be found in the appendixes:

- [Appendix A](#) lists key officials across the Federal Reserve System
- [Appendix B](#) provides links to the minutes for each of the eight regularly scheduled meetings of the Federal Open Market Committee
- [Appendix C](#) contains information on the Federal Reserve's audited financial statements as well as reviews conducted by the Office of Inspector General and the Government Accountability Office
- [Appendix D](#) presents information on the budgets for the Board and Reserve Banks and on currency-related costs
- [Appendix E](#) summarizes policy actions of the Board of Governors
- [Appendix F](#) lists litigation, both pending and resolved, that the Board of Governors was a party in
- [Appendix G](#) includes statistical tables that provide updated historical data concerning Board and System operations and activities

2 | Monetary Policy and Economic Developments

The Federal Reserve conducts the nation's monetary policy to promote maximum employment, stable prices, and moderate long-term interest rates in the U.S. economy. This section reviews U.S. monetary policy and economic developments in 2023 by providing excerpts and select figures from the *Monetary Policy Report* published in [March 2024](#) and [June 2023](#).¹ The report, submitted semiannually to the Congress, is delivered concurrently with testimony from the Federal Reserve Board Chair.²

March 2024 Summary

While inflation remains above the Federal Open Market Committee's (FOMC) objective of 2 percent, it has eased substantially over the past year, and the slowing in inflation has occurred without a significant increase in unemployment. The labor market remains relatively tight, with the unemployment rate near historically low levels and job vacancies still elevated. Real gross domestic product (GDP) growth has also been strong, supported by solid increases in consumer spending.

The FOMC has maintained the target range for the federal funds rate at 5¼ to 5½ percent since its July 2023 meeting. The Committee views the policy rate as likely at its peak for this tightening cycle, which began in early 2022. The Federal Reserve has also continued to reduce its holdings of Treasury and agency mortgage-backed securities.

As labor market tightness has eased and progress on inflation has continued, the risks to achieving the Committee's employment and inflation goals have been moving into better balance. Even so, the Committee remains highly attentive to inflation risks and is acutely aware that high inflation imposes significant hardship, especially on those least able to meet the higher costs of essentials.

The FOMC is strongly committed to returning inflation to its 2 percent objective. In considering any adjustments to the target range for the federal funds rate, the Committee will carefully assess incoming data, the evolving outlook, and the balance of risks. The Committee does not expect it will be appropriate to reduce the target range until it has gained greater confidence that inflation is moving sustainably toward 2 percent.

¹ Those complete reports are available on the Board's website at https://www.federalreserve.gov/publications/files/20240301_mprfullreport.pdf (March 2024) and https://www.federalreserve.gov/monetarypolicy/files/20230616_mprfullreport.pdf (June 2023).

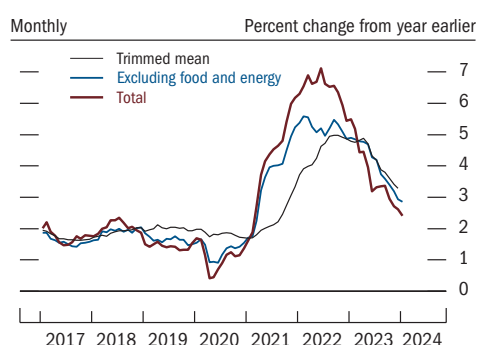
² As required by section 2B of the Federal Reserve Act, the Federal Reserve Board submits written reports to the Congress that contain discussions of "the conduct of monetary policy and economic developments and prospects for the future."

Recent Economic and Financial Developments

Inflation. Consumer price inflation has slowed notably but remains above 2 percent. The price index for personal consumption expenditures (PCE) rose 2.4 percent over the 12 months ending in January, down from a peak of 7.1 percent in 2022. The core PCE price index—which excludes

volatile food and energy prices and is generally considered a better guide to the direction of future inflation—rose 2.8 percent in the 12 months ending in January, and the slowing in inflation was widespread across both goods and services prices (figure 2.1). More recently, core PCE prices increased at an annual rate of 2.5 percent over the six months ending in January, though measuring inflation over relatively short periods risks exaggerating the influence of idiosyncratic or temporary factors. Measures of longer-term inflation expectations are within the range of values seen in the decade before the pandemic and continue to be broadly consistent with the FOMC’s longer-run objective of 2 percent.

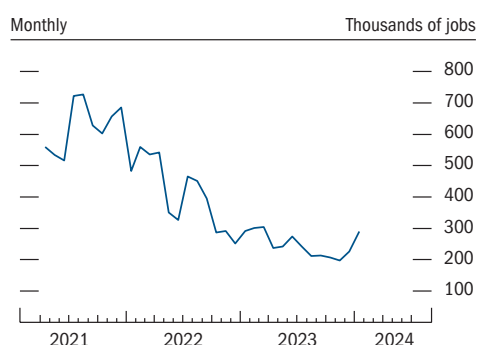
Figure 2.1. Personal consumption expenditures price indexes



Note: Trimmed mean data extend through December 2023. All other data extend through January 2024.

Source: For trimmed mean, Federal Reserve Bank of Dallas; for all else, Bureau of Economic Analysis; all via Haver Analytics.

Figure 2.2. Nonfarm payroll employment



Note: The data shown are a 3-month moving average of the change in nonfarm payroll employment and extend through January 2024.

Source: Bureau of Labor Statistics via Haver Analytics.

The labor market. The labor market has remained relatively tight, with job gains averaging 239,000 per month since June and the unemployment rate near historical lows (figure 2.2). Labor demand has eased—as job openings have declined in many sectors of the economy—but continues to exceed the supply of available workers (figure 2.3). Labor supply has trended higher over the past year, reflecting a continued strong pace of immigration and increases in the labor force participation rate, particularly among prime-age workers. Reflecting the improved balance between labor demand and supply, nominal wage gains slowed in 2023, but they remain above a pace consistent with 2 percent inflation over the longer term, given prevailing trends in productivity growth.